Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

RESOLUTION NO. 23, SERIES OF 2025

A RESOLUTION DIRECTING ALL PRIVATE DISTRIBUTION UTILITIES TO FILE THEIR RESPECTIVE AWAT APPLICATIONS FOR THE LAPSED PERIOD

WHEREAS, on 16 December 2021, the Commission issued Resolution No. 10, Series of 2021, entitled, *"A Resolution Modifying the Rules for Setting Distribution Wheeling Rates (RDWR) for Privately-Owned Distribution Utilities Entering Performance-Based Regulation (PBR)"* (Revised RDWR), wherein it adopted a modified RDWR to be applicable to all privately-owned distribution utilities (PDUs) operating under PBR;

WHEREAS, under Appendix C of the Revised RDWR, the Commission determined the applicable Lapsed Period for each private DUs under PBR as follows:

First Entry Group 1. Cagayan Electric Light & Power Company 2. Dagupan Electric Corporation 3. Manila Electric Company	Second Regulatory Period July 1, 2007 to June 30, 2011 Third Regulatory Period July 1, 2011 to June 30, 2015 Fourth Regulatory Period (LAPSED) July 1, 2015 to June 30, 2022 Fifth Regulatory Period July 1, 2022 to June 30, 2026

Second Entry Group 1. Cotabato Light & Power Company, Inc. 2. Iligan Light & Power Company, Inc. 3. Mactan Electric Company 4. Olongapo Electricity Distribution Company	Second Regulatory Period April 1, 2009 to March 31, 2013 Third Regulatory Period (LAPSED) April 1, 2013 to March 31, 2023 Fourth Regulatory Period April 1, 2023 to March 31, 2027
Third Entry Group 1. Cabanatuan Electric Corporation 2. Davao Light & Power Company, Inc. 3. Ibaan Electric and Engineering Corp. 4. La Union Electric Company, Inc. 5. Tarlac Electric Inc. 6. Visayan Electric Company	Second Regulatory Period July 1, 2010 to June 30, 2014 Third Regulatory Period (LAPSED) July 1, 2014 to June 30, 2024 Fourth Regulatory Period July 1, 2024 to June 30, 2028
Fourth Entry Group 1. Angeles Electric Corporation 2. Bohol Light Company, Inc. 3. Clark Electric Distribution Company 4. Panay Electric Company/MORE Electric and Power Corporation 5. Subic Enerzone Corporation 6. San Fernando Electric Light & Power Company	Second Regulatory Period October 1, 2011 to September 30, 2015 Third Regulatory Period (LAPSED) October 1, 2015 to September 30, 2025 Fourth Regulatory Period October 1, 2025 to September 30, 2029

WHEREAS, there was a need for the Commission to decide how to proceed with the lapsed periods of all PDUs;

WHEREAS, the Commission, during its 09 March 2022 Regular Commission Meeting, adopted a confirmation and true-up process in determining the rates of PDUs to address the lapsed periods for the respective Entry Groups;

WHEREAS, under this process, the Commission will confirm the last approved rate of PDUs during the previous regulatory reset, which will be utilized during the lapsed regulatory period. Thereafter, confirmed rates will be subjected to a true-up mechanism against the PDUs' Actual Weighted Average Tariff (AWAT) in order to determine any resulting over-recovery of rates charged during the lapsed period;

WHEREAS, on various dates in April 2022, the Commission directed PDUs to file their respective AWAT applications guided by the Over/Under Recovery Formula under Section 4.3.1, Article IV of the Revised RDWR within one hundred fifty (150) days from receipt thereof;

WHEREAS, in its *Decision* dated 16 June 2022 in ERC Case No. 2020-043 RC, the Commission approved MERALCO's application and resolved to treat the rates for its lapsed period using a true-up and confirmation process;

WHEREAS, in its *Order* dated 25 January 2024 in ERC Case No. 2020-043 RC, the Commission denied the Motions for Reconsideration and affirmed its position on the matter;

WHEREAS, the Commission's *Decision* dated 16 June 2022, and *Order* dated 25 January 2024 in ERC Case No. 2020-043 RC have been elevated to the Court of Appeals and to the Supreme Court[1];

[1] National Association for Electricity Consumers for Reforms, Inc. v. Energy regulatory Commission, Manila Electricity Compagno and Commission on Audit, G.R. No. 274704.

WHEREAS, on 17 December 2024, the Commission issued Resolution No. 17, Series of 2024 entitled, "*A Resolution Adopting the Amendments to ERC Resolution No. 10, Series of 2021*" (Modified RDWR), where it adopted amendments applicable to MERALCO's 5th RP and Lapsed Period, but declared that, in the case of CEPALCO and DECORP, their 5th RP applications shall be resolved separately by the Commission;

WHEREAS, no *Final Determination* was issued for the 5th RP of the First Entry Group in the respective revenue applications filed based on the Revised RDWR or the Modified RDWR;

WHEREAS, in light of the legal issues surrounding regulatory periods that remain unresolved, the Commission has deemed it prudent to decouple future regulatory rate-setting from the previous RDWR in order to restart the regulatory reset process for all private DUs without prejudice to the resolution of these legal issues concerning the previous regulatory periods;

WHEREAS, on 16 October 2025, the Commission approved the "*Rationalized Rules For Setting Distribution Wheeling Rates for Privately Owned Electricity Distribution Utilities Operating Under Performance Based Regulation*" (RRDWR) under ERC Case No. 2025-011 RM;

WHEREAS, in the RRDWR, the Commission set out the new Entry Groups for the PDUs and defined the First Regulatory Period as follows:

First Entry Group	**First Regulatory Period**
1. Cagayan Electric Power & Light Company, Inc. 2. Cotabato Light & Power Company, Inc. 3. Dagupan Electric Corporation 4. Manila Electric Company	July 1, 2026 to June 30, 2030

Second Entry Group 1. Clark Electric Distribution Company 2. Davao Light & Power Company, Inc. 3. Iligan Light & Power Company, Inc. 4. Mactan Electric Company 5. Olongapo Electricity Distribution Company 6. Shin Clark Power Corporation	**First Regulatory Period** January 1, 2027 to December 31, 2030
Third Entry Group 1. Cabanatuan Electric Corporation 2. Ibaan Electric and Engineering Corp. 3. La Union Electric Company, Inc. 4. Tarlac Electric Inc. 5. Visayan Electric Company 6. First Bay Power Corporation	**First Regulatory Period** July 1, 2027 to June 30, 2031
Fourth Entry Group 1. Angeles Electric Corporation 2. Bohol Light Company, Inc. 3. MORE Electric and Power Corporation 4. Subic Enerzone Corporation 5. San Fernando Electric Light & Power Company, Inc. 6. Negros Electric Power Corporation	**First Regulatory Period** January 1, 2028 to December 31, 2031

WHEREAS, the Commission, during its Commission Meeting on 16 October 2025, considering the approval of the RRDWR and the setting out of the new Entry Groups with the respective years covered by the First Regulatory Period, has resolved to maintain a confirmation and true-up process in determining the rates to address the lapsed periods for the respective Entry Groups;

WHEREAS, the Commission, further resolved to require all PDUs to file their respective applications in order to finally settle the treatment of their lapsed periods, without prejudice to the final resolution of the Supreme Court in the aforesaid pending case.

NOW, THEREFORE, be it **RESOLVED**, as the Commission hereby **RESOLVES** to **CLARIFY**, **APPROVE** and **ADOPT** the following:

1. The Commission adopts a confirmation and true-up process in determining the rates of the PDUs to address the Lapsed Period for the respective Entry Groups;

2. It is clarified that the Lapsed Period for each PDU shall be as follows:

First Entry Group	**Lapsed Period**
Cagayan Electric Light & Power Company Dagupan Electric Corporation Manila Electric Company	July 1, 2015 to June 30, 2026
Cotabato Light & Power Company, Inc.	April 1, 2013 to June 30, 2026
Second Entry Group	**Lapsed Period**
Iligan Light & Power Company, Inc. Mactan Electric Company Olongapo Electricity Distribution Company	April 1, 2013 to December 31, 2026
Davao Light & Power Company, Inc.	July 1, 2014 to December 31, 2026

Clark Electric Distribution Company Shin Clark Power Corporation	October 1, 2015 to December 31, 2026 Not applicable
Third Entry Group	**Lapsed Period**
Cabanatuan Electric Corporation Ibaan Electric and Engineering Corp. La Union Electric Company, Inc. Tarlac Electric Inc. Visayan Electric Company First Bay Power Corporation	July 1, 2014 to June 30, 2027 Not applicable
Fourth Entry Group	**Lapsed Period**
Angeles Electric Corporation Bohol Light Company, Inc. MORE Electric and Power Corporation Subic Enerzone Corporation San Fernando Electric Light & Power Company Negros Electric Power Corporation	October 1, 2015 to December 31, 2027 Not applicable

3. The PDUs' respective AWAT Applications shall proceed separately and independently from the proceedings on the regulatory reset process under the RRDWR.

4. All PDUs are hereby directed to file, within sixty (60) calendar days from the effectivity of this *Resolution*, an *Application* for the confirmation of its AWAT as against its last approved rates. The *Application* shall cover the period from the start of their respective Lapsed Period until 31 December 2025. For PDUs that have previously filed AWAT applications, the updated computation shall be submitted as a *Supplemental Application* in their pending cases instead of filing a new application. The

Application should provide the latest actual available data, based on distribution revenues, kWh sales, and net income from related business until 31 December 2025;

5. All PDUs shall be required to file a final AWAT *Application* to fully update and complete the true-up of their AWAT, covering the period from 01 January 2026 until the end of the Lapsed Period, within sixty (60) calendar days from the start of their respective First Regulatory Period;

    a. For avoidance of doubt, PDUs in the First Entry Group shall file a final AWAT *Application* to cover the period from 01 January 2026 until 30 June 2026 (the last day before the start of the First Regulatory Period) on or before 30 August 2026. A similar schedule shall be followed by all other PDUs in the other Entry Groups.

6. Any determination made by the Commission shall be without prejudice to the final resolution of the Supreme Court on AWAT;

7. The resolution of the Commission of these applications is without prejudice to any additional lapsed period that may be determined by the Commission for the PDUs that have yet to start their reset process; and

8. Failure to submit accurate information and comply with the above requirements shall be subject to the appropriate fines and penalties as the Commission is empowered to impose.

This *Resolution* shall take effect immediately following its publication in a newspaper of general circulation, or in the Official Gazette.

Let copies of this *Resolution* be furnished to all parties concerned, the University of the Philippines Law Center – Office of the National Administrative Register (UPLC-ONAR), all privately-owned Distribution Utilities, as well as published on the ERC website and such other online platform available to the Commission.

Pasig City.

FRANCIS SATURNINO C. JUAN
Chairperson and CEO

FLORESINDA G. BALDO-DIGAL
Commissioner

MARKO ROMEO L. FUENTES
Commissioner

AMANTE A. LIBERATO
Commissioner

PARIS G. REAL
Commissioner

LS: VMA/MVM/MCCG

ROS: ABS/AJMO

**Deliberated and approved during the 16 October 2025 Commission Meeting.*